



DHARMAN C.H.

KANNUR

KERALA



Growth engine:
**Bidi, handloom,
textiles**

Town population:
4,63,980

C. Jayachandran, 42, is a third-generation weaver and entrepreneur, and is the managing partner of Mascot Industries, which has a turnover of Rs 10 crore.

"The approval of a new airport, renovation of Azheekal Port and Central assistance will propel Kannur's transformation into a major commercial hub."

medical colleges and two of Punjab's best known public schools, has delivered sustainability. This, in turn, has fuelled across-the-board real-estate growth catapulting Patiala into the orbit of boom towns. It is hardly surprising then that, come November, it will be among the first to boast a Rs 60-crore wedding trousseau mall set up by Omaxe.

Jhajjar, Erode and Muktsar are leading markets for fast-moving consumer goods.

Gowri Arun, who co-authored the RKSWAMY/BBDO study, says, "Growth has created a new wave of consumerism and created an appetite for lifestyles comparable to that in metros." Biyani, who is planning to set up shops in 110 towns, believes, "There is a big shift in aspiration levels in these small towns which translates into consumption and sales. Confirmation of this comes when we see reality show participants wearing clothes from Big Bazaar."

Sameer Satpathy, marketing head of FMCG outfit Marico agrees: "Now aspiration is not restricted by geography. Rural consumers want the same products as urban ones as they have money and are exposed by media to a new mindset. In fact, today Mumbai and Delhi account for a smaller percentage of the sales than before." The story is repeated in telecom too. Harit Nagpal, director of marketing at Vodafone Essar, reveals that falling handset prices and tariffs are driving sales. "The bulk of subscriber

addition is coming from outside the 20 major cities."

Quite naturally there is a rush to cash in. Banks are ramping up their sales forces to acquire depositors, mutual funds are going rural to attract investors as are automakers. In fact Tier III towns account for a fifth of Tata Motors sales. Venugopal Dhoot, chairman of the Videocon Group, reveals that 60 per cent of his sales come, not from major metros, but from mini metros and Tier III towns. "The percolation effect of the high economic growth seen in the past five years can be seen clearly across many district towns." Ergo new methods are being used to penetrate these markets. Handset maker Nokia is using mobile vans to reach customers in district outposts while auto major Maruti-Suzuki holds 'car melas' two to three times a month in smaller towns. Not surprisingly, 30 per cent of its sales come from these towns and panchayats.

The rising tide has lifted the boats. By design or by default, the virtuous factors of economic growth have combined to deliver width and growth to the Indian economy. As marketing strategy consultant Rama Bijapurkar says, "Tier III towns have benefited from steady economic growth, improved road connectivity and aggressive marketers. Visible consumption increase has happened but there is more to come." It is early days as yet. Unless politics and politicians work to ruin the script, these towns could well provide the next chapters of the India story.

with Malini Bhupta, Ramesh Vinayak, Shyamal Yadav, M.G. Radhakrishnan and Senthil Kumar